

3. Distribution

Distribution refers to the overall process of how a product reaches from manufacturing to end consumers via distributors and retailers.



Distribution refers to transporting the product throughout the marketplace so that a large number of people can purchase it. Although a distribution channel requires a substantial amount of time and effort, it has its unique benefits.

Retailers and wholesalers will be willing to sell the company's products and that will only happen if the companies products sell well and they offer good incentives for them.

Let's talk about the distribution.
Assume Parachute and two other similar companies.

Company	No of stores across country	Visibility of products to public
	1,00,000	High Visibility
	35,000	Medium Visibility
	2,000	Low Visibility

Sales will depend upon market visibility and availability of any product. By having good visibility and availability, the product can maximize sales. However, building a strong distribution channel that keeps growing takes time. Wholesalers play a key role in product sales as they are responsible for product distribution to various retailers.

For example: If the incentives of Parachute are not favorable or do not have satisfactory earnings then the retailers and wholesalers will shift to another brand such as Indulekha. In such a situation, the advantages of Parachute will start to reduce.